

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

ALAN GRONER, SOLE PROPRIETOR D/B/A AAA CUSTOMS
BROKERS, *Claimant*

v.

MAERSK A/S, *Respondent*

**INFORMAL DOCKET NO.
1978(I)**

Served: June 14, 2022

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On May 6, 2022, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”) noting that Claimant Alan Groner, Sole Proprietor d/b/a AAA Customs Brokers (“Alan Groner”), had filed a claim against Respondent Maersk A/S (“Maersk”). Claimant alleged in its complaint that Maersk unlawfully charged it for demurrage, in violation of 46 U.S.C. § 41102(c) of the Shipping Act and 46 C.F.R. § 545.5 of the Commission’s Rules and Regulations.

The Secretary instructed Respondent to file a response to the Claim by June 1, 2022, and to indicate whether they consent to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

On June 2, 2022, Claimant informed the Secretary that the parties had resolved their dispute and that it wished to withdraw its complaint. On the same day, Claimant filed a Notice of Voluntary Dismissal (“Motion”), together with a copy of the parties’ Settlement Agreement and Mutual Release (“Settlement Agreement”). Respondent has not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, on June 8, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

Claimant seeks to withdraw its claim against Respondent based on a settlement agreement between the parties resolving their dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted

with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* At 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties resolved their dispute prior to the expiration of the deadline for Respondent to file their answer. The settlement by the parties "is the result of arm's-length negotiations between two sophisticated entities, both of whom have been represented by counsel during the settlement process" and "reflects the Parties' desire to resolve their issues without the need for costly and uncertain litigation." Motion at 2. The parties further assert that their agreement to settle their dispute does not contravene any law or public policy, is not unjust or discriminatory, and will not have an adverse effect on any third parties or the shipping public. Motion at 2. The parties ask that this proceeding be dismissed with prejudice, with each party to bear its own cost. Motion at 3.

A review of the settlement agreement, which is signed by all parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arms-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved and this proceeding dismissed.

The parties request that their settlement agreement be kept confidential “due to the recognition that settlement agreements often contain sensitive commercial information, and thus should be protected from public disclosure.” Motion at 3. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the settlement agreement by the parties and Claimant’s motion for voluntary dismissal of its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the parties’ request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer